

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 22-13



INTERNATIONAL EXPRESS TRUCKING, INC.,

COMPLAINANT,

v.

ZIM INTEGRATED SHIPPING SERVICES LTD.,

RESPONDENT.

COMPLAINT

Complainant International Express Trucking, Inc. (“Complainant” or “IXT”), by its undersigned attorneys, files this Complaint against Respondents herein, alleging violations of the Shipping Act of 1984, 46 U.S.C. § 40101, *et. seq.* (the “Shipping Act”) as follows:

I. COMPLAINANT

1. Complainant IXT is a corporation organized and existing under the laws of the State of Kansas with a principal place of business at 3359 Brinkerhoff, Kansas City, Kansas 66115.

II. RESPONDENTS

2. Zim Integrated Shipping Services Ltd. (“Zim”) is global ocean carrier company with a United States office located at 5801 Lake Wright Dr. Norfolk, VA 23502. Zim, by itself and through its common carrier subsidiaries and affiliated companies, provides container transportation. Zim is and was at all times pertinent to this Complaint a common carrier within the

meaning of the Shipping Act, 46 U.S.C. § 40102(7), subject to regulation by the Federal Maritime Commission (“FMC”).

III. JURISDICTION

3. The FMC has subject-matter jurisdiction over this Complaint pursuant to the Shipping Act of 1984, as amended.

4. This Complaint is being filed pursuant to Section 11(a) of the Shipping Act, 46 U.S.C. § 41301. IXT is seeking reparations for injuries caused to it by Respondent due to their violations of 46 U.S.C. § 41102(c).

5. The FMC has personal jurisdiction over Zim as a “common carrier” as defined in 46 U.S.C. § 40102(7).

6. Respondent’s actions alleged herein constitute failures by Respondent to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property, in violation of 46 U.S.C. § 41102(c) and 46 C.F.R. §§545.4 and 545.5.

IV. FACTUAL ALLEGATIONS

7. IXT is a motor carrier registered with the Federal Motor Carrier Safety Administration, that provides motor carrier transportation services.

8. Between March and November 2021, IXT attempted to return empty containers to Zim, in accordance with Zim’s instructions.

9. In all cases, Zim designated a return location that rejected the container return due to allocation having been met, congestion issues, a lack of space and/or weather conditions.

10. IXT would notify Zim that the container return was rejected and repeatedly requested that Zim designate a different termination location as capacity was limited and its

selected termination location had dwell times of four hours or more. Zim repeatedly ignored IXT's requests.

11. Zim denied IXT's request to provide an alternative termination location.

12. For each of these containers, Zim charged detention where it failed to provide a container return location and/or identify a container return location that would accept the container returns.

13. In all cases, Zim refused to waive the detention charges, and also failed to provide timely invoices to IXT regarding the detention charges assessed.

14. IXT has made several attempts to resolve the dispute with Zim with little success. In or about January 2022, IXT again attempted to discuss the detention charges with Zim but Zim never responded to IXT's requests and/or correspondence.

15. Due to Zim failing to designate a return location and/or identify a container return location that would accept the container returns, Zim assessed \$114,614.00 in detention charges against IXT.

V. VIOLATIONS OF THE SHIPPING ACT

16. Section 41102(c) of the Shipping Act (46 U.S.C. § 41102(c)) prohibits a common carrier or marine terminal operator from failing to "establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property."

17. Respondent Zim is an ocean common carrier as defined by the Shipping Act.

18. Respondent's practices and regulations relating to the assessment of demurrage/detention are directly related to receiving, handling, storing, or delivering property, are occurring on a normal, customary, and continuous basis, and are unjust and unreasonable.

19. Respondent has failed to establish and observe just and reasonable practices in violation of § 41102(c) by failing to provide an equipment return location and/or identifying an equipment return location that was not accepting the equipment.

20. Respondent failed to establish and observe just and reasonable practices in violation of § 41102(c) by assessing detention charges that serve no incentivizing principle and do not promote freight fluidity.

21. Respondent failed to establish and observe just and reasonable practices in violation of § 41102(c) by refusing to extend free time and/or waive or reduce detention charges for containers, which were rejected for return by the designated termination location.

VI. CAUSATION AND INJURY TO COMPLAINANT

22. As a result of Respondents' violations of the Shipping Act, the Complainant has sustained injuries and damages in the amount of \$134, 655.

VII. ALTERNATIVE DISPUTE RESOLUTION

23. IXT has made numerous unsuccessful attempts to resolve this matter with Zim prior to filing this Verified Complaint. On January 11, 2022, IXT's counsel again attempted to resolve the matter with Zim. In response, Zim informed IXT it would review the disputed charges and respond to IXT's claims. Despite repeated assurances by Zim that it would work to resolve the matter it has failed to do so. Because Zim has failed to respond to these requests, IXT did not seek to use the FMC's alternative dispute resolution procedures prior to filing this Verified Complaint. For the same reasons, Complainant has not had any preliminary consultations with the FMC's Dispute Resolution Specialist regarding the availability of alternative dispute resolution (ADR) under the FMC's ADR program, 46 C.F.R. § 502.64

VIII. PLACE OF HEARING

24. Complainant requests a hearing on this matter, and further requests that the hearing be held at the Federal Maritime Commission, 800 N. Capitol St., NW, Washington, D.C. 20573-0001.

IX. PRAYER FOR RELIEF

WHEREFORE, Complainant respectfully requests that Respondents be required to answer the charges in this Complaint, and that after the Commission's investigation and hearing, the Commission issue an order:

- 1) Requiring Respondent to pay Complainant reparations for the unlawful conduct described herein, along with interest and Complainant's attorneys' fees and costs pursuant to 46 U.S.C. 41305;
- 2) Requiring the payment of any other amounts that the Commission deems appropriate; and
- 3) Providing such other and further relief that the Commission deems just and proper.

DATE: April 11, 2022

Respectfully submitted,



Brendan Collins

Kristine O. Little

GKG LAW, P.C.

1055 Thomas Jefferson Street, NW

Washington, DC 20007

Telephone: 202-342-6793

Facsimile: 202-342-5207

Email: bcollins@gkglaw.com

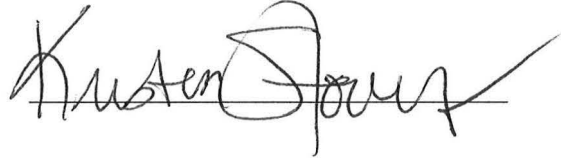
Email: klittle@gkglaw.com

*Attorneys for International Express Trucking,
Inc.*

VERIFICATION

I, Kristen Storey, am the Vice President of Business Development and Strategy of Complainant International Express Trucking, Inc. and hereby declare and attest under penalty of perjury that I have read the forgoing Verified Complaint and believe, to the best of my knowledge, information, and belief, that the facts stated therein are true and correct.

Dated: April 11, 2022:

A handwritten signature in black ink, appearing to read "Kristen Storey", written over a horizontal line.